RETIREMENT

Retirement may seem a distant event for someone in their 20s, but to live a comfortable life in retirement, you need to think ahead and plan accordingly. Don't fall prey to retirement planning missteps

1. WAITING TO START

Retirement means different things to different people, but it is the stage in life when you no more have an active income and live off your savings and investments. Don't wait for the best day to start working towards your retirement.

THE SOLUTION: You need to start planning towards your retirement from the day you start earning. Retirement is a long-term financial goal and it will be in your interest to start saving towards it at the earliest. Start by saving small and then add to it over time as your affordability goes up and you know how much you may actually need to save towards retirement.

2. NOT MAKING A PLAN

Unlike other financial goals, which can also be met with loans or delayed, retirement has no such flexibility. Not having a retirement plan is akin to participating in a treasure hunt without a map.

THE SOLUTION: For most people, the retirement age is fixed unless they are professionals or run their own businesses. It is a matter of when and not if you will retire, so make a plan at the earliest and work towards it.

3. UNDERESTIMATING INFLATION

The impact of inflation can be the difference between a comfortable retirement versus one fraught with worry and uncertainty. For instance, the value of Rs 1 lakh today will be worth less than Rs 50,000 a decade later with 8 per cent inflation. Over three decades, it would be worth Rs 20,000. As retirement is a long way to go, do not ignore the impact of inflation on it.

THE SOLUTION: When planning for retirement, factor in inflation. Understand the difference between nominal and real returns and that real returns factor prevailing inflation, and should be positive in value. With inflation being on the rise over the years, it is a good idea to review the progress made by your retirement savings to match your existing lifestyle.



4. UNDERESTIMATING MEDICAL EXPENSES

Good health and age do not necessarily go hand-in-hand. With advancing age, health issues crop up, many of them requiring urgent and long-term medical care. As medical inflation is higher than general inflation, it must be considered when planning for healthcare costs in retirement.

THE SOLUTION: Do not ignore your health. Being healthy has its own advantages. You don't fall sick to spend money. As life is uncertain, you should have health insurance for as long as you can take it. There are senior citizen health insurance policies that are focused solely on senior citizens. You could also continue policies that you may have taken early in life for as long a period as they are available.

5. DIPPING IN EARLY

Retirement savings—mandatory or otherwise—are often the go-to resource for contingencies. The belief that one has the time to retire and hence can dip into retirement savings is a common trap. This leaves a huge dent in the money that one could save versus what one actually manages to save.

THE SOLUTION: Retirement savings are not a backup for other financial goals and emergencies. Have dedicated retirement savings and investments that are to be used only when you retire. Imbibe this discipline from an early stage. By dipping into dedicated retirement savings and investments, you deny these savings from benefiting from the power of compounding and long-term wealth creation prospects in addition to a comfortable retirement corpus.

6. NOT UPDATING DOCUMENTS

No one likes to think about death, but it's a reality, and your retirement planning needs to include estate planning (how you wish your assets are distributed after you). One waits for too long to change the holding structure of assets or even nomination and make a will. Given the rising longevity and health complications, one may not be able to make the right decision on what happens to their lives and assets at an advanced stage.

THE SOLUTION: You are never too young to make a will. The moment you have assets of some form, have a basic will in place. You can keep updating your will as you get older to align with changes you wish to make in the way your assets are distributed. Likewise, with age, there may be issues pertaining to your ability to make your own decisions. You can decide how you wish to be treated or otherwise in case of terminal illness or in a phase when you are no longer able to decide for yourself. You could have a Power of Attorney or have guardianship in place for your best interest. ■